

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**COMPLAINANT'S REPLY IN SUPPORT OF
MOTION FOR SUMMARY DECISION**

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Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) respectfully replies in support of its motion for summary decision.

INTRODUCTION

IMCC’s Motion and Response set forth the key undisputed facts showing why all Respondents’ individual and collective practices are unjust and unreasonable, and violate the Shipping Act, and why those facts and the law therefore support Summary Decision in favor of IMCC. There is no genuine dispute as to these key facts:

- [REDACTED]
[REDACTED]
[REDACTED]. IMCC SUMF¹ ¶¶ 75-76, 79-80, 84, 86.
- [REDACTED] enters into contracts with IEPs [REDACTED]
[REDACTED]
[REDACTED]. [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED].

¹ In this brief, “IMCC MSD” refers to Doc. 93, IMCC’s Motion for Summary Decision (Apr. 29, 2022). “Opp.” refers to Doc. 104, Respondents’ Response to IMCC’s Motion for Summary Decision (June 2, 2022). “IMCC SUMF” refers to Doc. 92, Statement of Undisputed Material Facts Supporting IMCC’s Motion for Summary Decision (Apr. 29, 2022). “IMCC Supp. SUMF” refers to Doc 109, IMCC’s Responses to Respondents’ Statement of Undisputed Material Facts and IMCC’s Supplemental Statement of Undisputed Material Facts (June 2, 2022). “Responses SUMF” refers to Doc. 105, Respondents’ Responses to IMCC’s Statement of Material Facts Supporting IMCC’s Motion for Summary Decision (June 2, 2022). Finally, “JSF” refers to Doc. No. 88, Joint Stipulation of Facts (Feb. 23, 2022).

- [REDACTED] has contracted with an IEP to be served by the IEP’s proprietary non-interoperable pool instead of an interoperable pool, enhancing the IEP’s pricing power for MH chassis. *Id.* ¶¶ 393-95, 497, 522-25.
- [REDACTED] in the Los Angeles/Long Beach region, and [REDACTED]. [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] do so seven years after promises that a “trucker choice” program would be implemented. Responses SUMF ¶¶ 49-50.
- Restricting chassis interoperability directly denies benefits for the supply chain, including by increasing supply chain fragmentation, decreasing efficiency and fluidity, and increasing BCO inventory costs. *Id.* ¶¶ ¶¶ 637-45; IMCC MSD 8-9 (evidence of benefits of interoperability); *see also* FMC Fact Finding No. 29, *Final Report* 26 (May 31, 2022), <https://tinyurl.com/2p845ae9> (“The problems that exist in Memphis are worsening.”).²
- Restricting MH chassis choice enhances IEPs’ pricing power, resulting in higher chassis costs for motor carriers and their customers. IMCC SUMF¶¶ 526-36, 722 ([REDACTED]
[REDACTED]
[REDACTED]); *see also, e.g., id.* ¶ 497 ([REDACTED]
[REDACTED]).

Respondents’ own expert [REDACTED]

² IMCC respectfully requests judicial notice of this Report. Fed. R. Evid. 201; *Reyn’s Pasta Bella, LLC v. Visa USA, Inc.*, 442 F.3d 741, 746 n.6 (9th Cir. 2006) (taking judicial notice of “matters of public record”).

“[REDACTED]” IMCC

SUMF ¶ 627. But the resulting harms these practices cause show that Respondents’ conduct is not “fit and appropriate to the end in view,” and disregards their obligations as common carriers. *Distribution Services, Ltd. v. Transpacific Freight Conference of Japan*, 24 S.R.R. 714, 722, 1988 WL 340659, at *7 (FMC 1988) (quotation omitted).

Respondents proffer hyperbole and hypotheticals, contending that the Commission lacks statutory authority to remedy their unjust and unreasonable actions, and fixate on the *Complaint’s* rough quantification of harm. But debates over the precise quantum of harm do not impede the Commission’s ability to issue injunctive relief. And the Presiding Officer can “tailor” cease and desist relief at the Initial Decision phase. Initial Decision, *Hapag-Lloyd A.G. and Hapag-Lloyd (America) LLC, Possible Violations of 46 U.S.C. §41102(c)*, slip op. at 44, Dkt. No. 21-09 (ALJ 2022) (citing *Marcella Shipping Co. Ltd.*, 23 S.R.R. 857, 871-72 (ALJ Feb. 13, 1986)).

Nor can Respondents rely on their backup plan, issuing blanket denials or calling record evidence inadmissible³ or irrelevant.⁴ These manufactured pseudo-disputes only betray that there

³ Respondents’ contention, *e.g.* Responses SUMF ¶¶ 55, 72, 75, 664, that “hearsay is not admissible in Commission proceedings is clearly wrong. Both the Administrative Procedure Act and the Commission’s Rules of Practice and Procedure permit the admission of hearsay evidence so long as it is relevant, material, reliable and probative and not unduly repetitious or cumulative.” *EuroUSA Shipping Inc., Tober Group Inc., and Container Innovations Inc. – Possible Violations of the Shipping Act of 1984 and the Commissioner’s Regulations at 46 C.F.R. § 515.27*, 31 S.R.R. 545, slip op. at 19 (FMC 2008) (citation omitted).

⁴ Respondents’ contention, *e.g.* Responses SUMF ¶¶ 113, 553, that references in an appropriately produced document to ports and/or inland terminals that were not the subject of focused geographic discovery are not admissible is wrong on its face. Nothing in an agreement on geographic discovery permits the exclusion of references to other ports and inland terminals when contained in agreements or communications produced by Respondents, particularly when those agreements or documents include the focused geographies and provide evidence of the overall business context in which those agreements or communications occurred.

is no *genuine* dispute of *material* fact. Fed. R. Civ P. 56(a); *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986) (dispute is genuine only if “the evidence is such that a reasonable jury could return a verdict for the nonmoving party”). Summary decision is thus appropriate: There is no genuine dispute of material fact, no question that the Shipping Act prohibits Respondents’ unjust and unreasonable practices, and no jurisdictional limit to the Commission issuing cease-and-desist relief to stop their ongoing unjust and unreasonable conduct. IMCC’s motion should be granted.

ARGUMENT

IMCC’s Motion for Summary Decision demonstrates how Respondents have restrained chassis choice in MH movements, and restricted chassis interoperability in all movements, harming motor carriers and the American shipping public. Respondents offer no evidence or apposite precedent to contradict IMCC’s Motion; and they cannot rely on blanket denials for a free pass.

A. Respondents Cannot Distinguish Clear Precedent Establishing Commission Jurisdiction over Chassis Restraints that Burden the Shipping Public.

Respondents’ strategy of obfuscation and evasion begins by [REDACTED]
[REDACTED]. Responses SUMF ¶ 10. Such nonsense has already been rejected by the Commission. 85 Fed. Reg. 29,638, 29,655 (May 18, 2020) (“it is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port”). Further, the Commission’s jurisdiction extends to carrier regulations and practices that burden obtaining ocean transportation under the carriers’ port-to-port or -inland terminal tariffs and service contracts. *See* Order Denying Motion to Dismiss (“MTD Order”) at 4.

Commission precedent also clearly establishes that regulated entities, like Respondents, cannot shield their illegal conduct behind contracts with unregulated entities, like the IEPs. Otherwise, a “common carrier could escape [the Commission’s] jurisdiction by the simple device of voluntarily . . . entering into an agreement[.]” *Sea-Land Service, Inc. and Gulf of Puerto Rico Lines Inc. – Proposed Rules on Containers*, 21 F.M.C. 1, 4 (FMC 1978); accord *New York Shipping Ass’n Inc. v. FMC*, 854 F.2d 1338 (D.C. Cir. 1988) (affirming Order requiring contract between regulated and non-regulated entities to be renegotiated); *See also* 85 Fed. Reg. at 29,649 n.176 (“PMSA asserts that the Commission ‘probably does not have jurisdiction’ to ‘mandate wholesale changes that are inconsistent with the UIIA.’ . . . PMSA cites no authority for this proposition. To the contrary, ocean carrier demurrage and detention practices and regulations are within the Commission’s jurisdiction under section 41102(c)”).

B. CCM Rules are Unreasonable Because they Give Final Veto Rights over MH Chassis Choice to the Ocean Carriers.

Respondents do not genuinely contest how the CCM rules operate. Opp. 4-5. Nor is there any dispute that [REDACTED] [REDACTED]. *Id.* [REDACTED] merely highlights why CCM’s restrictions go “beyond what is necessary” to ensure sufficient MH chassis. *Distribution Services*, 1988 WL 340659, at *7.⁵ The [REDACTED] allowing ocean carriers to restrict MH chassis competition harm the shipping public by forcing motor carriers, their shipping customers, and ultimately American consumers to pay higher rates for MH chassis. *Supra*.

⁵ [REDACTED] and [REDACTED] cannot claim that “[REDACTED]” for them because they “[REDACTED]” Opp. 7. The undisputed facts demonstrate that both [REDACTED]. JSF ¶¶ 63-66, 125; IMCC SUMF ¶¶ 96-98, 130-37. As [REDACTED] own deponent articulates: “[REDACTED].” *Id.* ¶ 130. Thus, instead of sharing the financial benefits of restrictions on MH chassis choice with IEPs, [REDACTED] and [REDACTED] keep it for themselves.

Respondents retort that [REDACTED]
[REDACTED].” Opp. 8. Not so. The undisputed factual record is full of evidence showing that when MH chassis choice is available, such as for some ocean carriers in some CCM pools, chassis rates are lower precisely because of MH chassis price competition. *See* IMCC SUMF ¶¶ 526-45.

Respondents further contend that the OCEMA and CCM policies are “[REDACTED]
[REDACTED]
[REDACTED].” Opp. 10. But this argument reveals Respondents’ erroneous interpretation of their obligations under the Shipping Act. Regulated carriers must adopt policies that are least intrusive for *the shipping public, not themselves*. Thus the Commission evaluates whether the challenged conduct is “excessive and thus unreasonable,” including by whether “less intrusive methods” exist to satisfy a “worthy objective”—not merely an ocean carrier’s financial self-interest. *Distribution Services*, 1988 WL 340659, at *7. [REDACTED] concessions are instructive. Respondents concede that [REDACTED] “[REDACTED],” i.e., denied, MH chassis choice requests “[REDACTED]
[REDACTED].” Opp. 6. In other words, [REDACTED] restricted MH chassis choice—pursuant to CCM Rules—to earn a better contractual deal for itself, regardless of the effects on the shipping public. This exemplifies why the CCM Rules are unreasonable: They allow ocean carriers to restrain MH chassis competition, enhancing IEP pricing power and thus harming motor carriers and shippers with higher prices, *to* secure financial benefits *only for themselves*.⁶

⁶ Further, the factual record [REDACTED]
[REDACTED]. *See* IMCC Supp. SUMF ¶¶ [REDACTED].

Respondents further challenge the undisputed factual record by claiming that “[REDACTED]” Opp. 10. But this wide-sweeping statement conflicts with record evidence showing MH chassis choice requests are routine. IMCC SUMF ¶¶ 87, 91-92, 99-102, 108-113, 118, 147, 149-54, 158, 160, 162-63, 167-69. Further, some ocean carriers either disclaim choice altogether, or limit choice to certain situations. IMCC MSD 10-11. Thus, many choice requests would be futile because ocean carriers automatically deny choice, or impose burdensome procedures. *Id.* ¶¶ 87, 146. Thus Respondents undercount the choice that would exist but-for the CCM Rules. Respondents also ignore record evidence that choice requests are *increasing*. *Id.* ¶¶ 170-71. And their concession that choice is “[REDACTED]” Opp. 11, demonstrates precisely how ocean carriers allocate pricing power to the IEP by entering proprietary pools (thus denying choice) in exchange for financial incentives, like lower CH rates. *See infra* at C (discussing withdrawal contracts).

Perhaps recognizing the weakness of their factual and legal arguments, Respondents resort to attacking hypothetical remedies. For example, they claim that IMCC seeks to dismantle the Hampton Roads Chassis Pool (“HRCP”). Opp. 12. But IMCC seeks no such relief. Regardless, the Presiding Officer can tailor remedies to the evidentiary record, which is necessarily limited pursuant to the parties’ geographic discovery limitations. Respondents also contend that “[REDACTED]” but not the “[REDACTED].” Opp. 12. But IMCC’s proposed relief—an order requiring Respondents to cease and desist from unreasonable restrictions on MH chassis choice—is optimal for *the entire supply chain*. Here there is *not a single piece of record evidence* demonstrating that MH chassis choice has any negative effect on the supply chassis. In fact, the experience of ocean carriers allowing choice in

CCM pools shows just the opposite. MH chassis competition benefits the supply chain by lowering chassis rates that ultimately accrue to the shipping public. And [REDACTED] have opined that [REDACTED] [REDACTED] IMCC SUMF ¶¶ 681, 677-79, 736-38.

As a result, Respondents cannot defend the CCM Rules that restrict chassis choice by giving final veto rights to ocean carriers.

C. Ocean Carrier Contracts Link MH Volumes to CH Prices, Causing Higher Chassis Rates to Radiate Through the Supply Chain.

Respondents do not contest [REDACTED] [REDACTED]. There is further no genuine dispute that [REDACTED] IMCC SUMF ¶¶ 543-44 ([REDACTED] [REDACTED]); *id.* ¶ 538 ([REDACTED] [REDACTED]). Rather Respondents claim these contracts are “[REDACTED] [REDACTED].” Responses SUMF ¶¶ 496-97. Presumably this means that some Respondents do not take full financial advantage of these contractual provisions by not foreclosing MH chassis choice entirely. But if so, that shows just how unnecessary these provisions are to ensuring sufficient MH chassis.

Respondents cannot defend their conduct by claiming that “[REDACTED] [REDACTED].” Opp. 13. Undisputed record evidence demonstrates *precisely the opposite*: [REDACTED] [REDACTED] IMCC SUMF ¶¶ 526-45. Further, the assertion that ocean carriers are the only party that can ensure MH chassis

availability, Opp. 13, flies in the face of their own filed tariffs, which note that under port-to-port arrangements, the motor carriers and BCOs have the responsibility to arrange for MH chassis. See IMCC Supp. SUMF ¶¶ 21-25 (tariffs identifying entities other than ocean carriers retain responsibility for chassis provision in port-to-port and -inland terminal movements).

That [REDACTED] conclude that a [REDACTED] [REDACTED] reveals that the provisions are not “tailored to meet [their] intended purpose.” 85 Fed. Reg. at 29,651; IMCC SUMF ¶¶ 681, 677-69, 736-38. Thus, Respondents’ argument that [REDACTED] [REDACTED],” turns the law on its head. Opp. 14. It is precisely because “less intrusive methods” exist for the shipping public to satisfy the same “worthy objective” that demonstrates why the conduct is excessive and thus unreasonable. *Distribution Services*, 1988 WL 340659, at *7.

Respondents further cannot save their challenged conduct by claiming [REDACTED] [REDACTED]. Opp. 15. IMCC does not allege that ocean carriers set the prices. Rather, the ocean carriers restrict MH chassis choice, which gives pricing power to IEPs because motor carriers and BCOs have no reasonable alternatives to which to turn. Respondents’ own expert [REDACTED]. IMCC SUMF ¶¶ 522-23. And direct record evidence highlights negotiations [REDACTED] [REDACTED]. See *id.* ¶ 497 ([REDACTED] [REDACTED]). Ocean carriers understand this dynamic, and steer MH volume while negotiating with IEPs, knowing this will earn them a better financial bargain. [REDACTED] [REDACTED] [REDACTED]; see also *id.* ¶¶ 502-503 ([REDACTED] [REDACTED]).

[REDACTED]

[REDACTED]). Respondents’ *own brief* cites how [REDACTED] restricted MH chassis choice, steering MH chassis usage to an IEP in exchange for a better contract bargain. *Supra* at 7 ([REDACTED]).

Last, Respondents suggest that “[REDACTED]

[REDACTED]

[REDACTED].” Opp. 15-16. But this hypothetical contrasts with the undisputed factual record highlighting how just impractical this proposition is for many MH movements. IMCC SUMF ¶¶ 694-713. The significant investment needed to purchase, store, and maintain chassis often makes chassis ownership prohibitively expensive for the vast majority of motor carriers, especially smaller ones. *Id.* ¶¶ 709-10. And the undisputed facts show that, in practice, these substitutes make sense only where chassis utilization rates are high (to justify the investment), such as specialty chassis. *Id.* ¶¶ 694-713. Moreover, Respondents’ suggested alternatives are *entirely prohibited* in certain circumstances, such as when rail ramps forbid non-pool chassis. *Id.* ¶¶ 70, 72. Respondents’ *own expert admitted* that there are only “[REDACTED]

[REDACTED].” *Id.* ¶ 696.

Nor do Respondents’ arguments that the Commission must bend over backwards to defer to ocean carriers’ “business discretion” survive scrutiny (Opp. 17) when their conduct harms to the shipping public. IMCC Response Br. 9 & n.7. IMCC does not seek for the Commission to micromanage the daily business decisions of the Respondents, “just that the commercial environment [not be] hampered by unreasonable or unjustly discriminatory practices.” *Ceres Marine Terminals Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 372 (FMC 2001).

Tellingly, Respondents attempt to discredit *their own witnesses*. Responses SUMF ¶ 615. But their attack on [REDACTED] witnesses through their industry “expert” fails; for example, [REDACTED]
[REDACTED]
[REDACTED]. IMCC SUMF ¶ 613; IMCC Reply App. CX00006322. Respondents have provided zero basis to question [REDACTED] witnesses’ credibility but nevertheless ask the Presiding Officer to disregard sworn testimony, which is inappropriate on summary decision.

D. Ocean Carriers Cannot Hide Behind the IEPs When Leaving Interoperable Pools.

Respondents do not dispute that [REDACTED]
[REDACTED]
[REDACTED]. IMCC SUMF ¶¶ 546-610. The Respondent ocean carriers freely entered into these contracts, which either specify that the [REDACTED]
[REDACTED]
[REDACTED]. *Id.* Nor do Respondents contest that these withdrawals are ongoing. *Id.* ¶¶ 554-55 ([REDACTED]); *id.* ¶¶ 558-59 ([REDACTED]).

Respondents’ only defense is to hide behind the IEPs, claiming that they, “[REDACTED]
[REDACTED]” Opp. 18. But it is not the IEPs’ particular chassis decisions that violate the Shipping Act; it is the *Respondents’ decision to enter these contracts* that deprive the supply chain of the benefits of interoperability that violate the Shipping Act. *See* IMCC MSD 22-25. [REDACTED]
[REDACTED] *E.g.*, IMCC SUMF ¶¶ 598-605 ([REDACTED]
[REDACTED]);
see also id. ¶¶ 637-57 ([REDACTED]). Benefits from

interoperability are not just foreclosed as the result of a particular ocean carrier's withdrawal; rather, they may cause a domino effect leading to a collapse of the regional interoperable pool. *E.g., id.* ¶¶ 633-35 ([REDACTED]). A similar domino effect could cause an M CCP collapse as well.

Respondents do not genuinely dispute these facts, so they again resort to attacking hypothetical remedies. For example, they claim that IMCC seeks an order requiring "[REDACTED] [REDACTED]." Opp. 19 n.12. Strikingly, this proposition contains no citation. And for good reason—that has never been IMCC's position. Rather, IMCC seeks an order for ocean carriers to cease and desist from *ongoing* withdrawals from interoperable CCM pools, such as the M CCP.

E. The Commission Can Order Relief against Illegal Respondent Practices in the POP.

Respondents also do not dispute that the [REDACTED], despite promising over seven years ago to do so. Responses SUMF ¶¶ 49-50. During that time, [REDACTED] [REDACTED]. Instead of acknowledging that undisputed fact, they falsely contend that IMCC seeks "[REDACTED] [REDACTED]" of the POP. Opp. 20. Again, IMCC does not pursue relief from nonparty IEPs. Rather, IMCC seeks an order that Respondent ocean carriers shall not amend, revise, extend, or continue their contracts with an IEP in the POP while MH chassis choice has not been implemented. *See* IMCC SUMF ¶ 49 ([REDACTED] [REDACTED]). This relief seeks to enforce the Respondent ocean carriers' common carrier obligations under the Shipping Act to not create a "commercial environment hampered by unreasonable or unjustly discriminatory practices." *Ceres Marine Terminals*, 29 S.R.R. at 372. Further, the Commission can allow all parties "a reasonable amount of time to

conform their [] arrangements with the requirements of the shipping laws[.]” “*50 Mile Container Rules*,” *Implementation by Ocean Common Carriers Serving U.S. Atl. and Gulf Coast Prots*, Dkt. 81-11, 1987 WL 209053, at *4 (FMC Aug. 3, 1987), *aff’d*, *New York Shipping Ass’n*, 854 F.2d 1338; *accord Sea-Land Service*, 21 F.M.C. at 4.

Nor can Respondents rely on the U.S. Department of Justice Antitrust Division’s Business Review Letter. Opp. 21. As a preliminary matter, the Antitrust Division determines whether promised conduct is likely to violate the *Sherman Act* not the Shipping Act. Here, the IEPs’ POP chassis usage agreement provides that they “ [REDACTED] [REDACTED],” and [REDACTED]. IMCC SUMF ¶¶ 49-50. Yet this MH chassis choice program has never been implemented. *Id.* The question raised by IMCC’s Motion is whether ocean carriers may continue to contract with an IEP with respect to the POP so long as it deprives the supply chain of the promised benefits of MH chassis choice.

F. Respondents Do Not Contest Harms from Non-Interoperability, and There Is No Genuine Dispute that Their Practices Force Motor Carriers to Pay Higher MH Chassis Rates.

In their Brief and Responses to IMCC’s SUMF, Respondents *do not even address* the harms from lack of interoperability that their own documents describe in detail. *E.g.*, IMCC Supp. SUMF ¶¶ 9-10. Instead they respond that “ [REDACTED] [REDACTED].” Opp. 19 (quoting Order Denying Respondents’ Mot. for Leave to Appeal at 6).

Here, Complainant has more than carried this burden. *See* IMCC MSD 22-23. These harms include fragmentation of stop/start locations (IMCC SUMF ¶¶ 612, 624, 642, 657) and the need for more chassis (*id.* ¶¶ 666-68), as well as increased chassis splits and flips (*id.* ¶¶ 56, 616, 618, 658-59, 662, 671-72, 699), greater demurrage and detention charges (*id.* ¶¶ 618, 660-61),

longer terminal wait times (*id.* ¶¶ 662, 699-700), increased repositioning requirements (*id.* ¶¶ 616, 618, 663-65), delays causing greater motor carrier and rail inefficiency (*id.* ¶¶ 616, 618, 669-72), and requiring increased BCO inventory (*id.* ¶¶ 616, 618, 673-74). Respondents do not deny that they created these costs and shifted them onto the rest of the supply chain in pursuit of their own financial benefit, such as cost savings for CH chassis. *Id.* ¶¶ 598-605, 637-57.

The undisputed factual record also reveals the harms from restricting MH chassis choice, including imposing higher MH charges on motor carriers, their customers, and ultimately the American public. IMCC MSD 14 (collecting evidence). [REDACTED] has entered into arrangements that increase IEP pricing power⁷ over MH chassis in exchange for the ocean carrier's receiving financial benefits, including for lower CH rates. IMCC MSD 11-13, 14, 20-22. These contractual linkages of MH and CH are the opposite of "volume discounts," by which one typically receives a lower price in exchange for more volume. *Opp.* 13-16. Rather, ocean carriers [REDACTED]

[REDACTED]. *Id.* ¶¶ 526-36.

Further, Respondents cannot rely on an argument that every motor carrier must lose money on every chassis transaction in order for Respondents to violate the Shipping Act. *Opp.* 24. Such an argument is not only legally irrelevant, but *undercut by the factual record*. See IMCC Responses SUMF ¶¶ 232-238. Here, it is undisputed that *some* motor carriers recover *some* chassis costs to their shipping and receiving customers, as any intermediary in a supply

⁷ Except [REDACTED] and [REDACTED], who retain this pricing power for themselves. JSF ¶¶ [REDACTED]; IMCC SUMF ¶¶ [REDACTED].

⁸ The effects of MSC's and Evergreen's business model are not substantially different, except that instead of splitting these financial benefits with IEPs, they take them for themselves in the form of chassis usage charges and per diems. IMCC MSD 11 n.7.

chain does. But these pass-through costs differ by motor carrier and transaction. *Id.* In fact, the undisputed factual record further shows that some motor carriers *do not impose any markup at all*. *Id.* ¶ 97 ([REDACTED]). And even if *all* motor carriers were passing on *more* than chassis and administrative costs in *all* transactions, then the shipping public would be *more harmed by Respondents' unreasonable conduct radiating out into the supply chain, not less*.

G. Commission Precedent Establishes that the IEPs are Not Necessary Parties.

Respondents entirely avoid addressing Commission precedent, which *directly rejects* their argument that non-regulated entities who contract with ocean carriers are necessary parties. “50 Mile Container Rules,” 1987 WL 209053, at *4, *aff’d*, *New York Shipping Ass’n*, 854 F.2d 1338 (ordering renegotiation of contracts consistent with Shipping Act). As IMCC previously detailed, the IEPs are not necessary to this proceeding, and the Commission can order relief requiring ocean carriers to negotiate contracts consistent with their Shipping Act obligations. IMCC Response 22-24. As many of the ocean contracts at issue contain severability clauses, replacing contract terms that violate the Shipping Act will not be onerous. IMCC Supp. SUMF ¶¶ 26-56.

CONCLUSION

IMCC respectfully requests that its motion for summary decision be granted.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that, on June 16, 2022, a true and correct copy of the foregoing Reply Brief in Support of IMCC's Motion for Summary Decision (Public Version) was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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